

PASSED

11th Legislature



Tribal Law 11-003

To establish fiscal and financial controls for the tribal government and its businesses, and for other purposes.

IN THE CHICKASAW TRIBAL LEGISLATURE

December, 1993

AN ACT

Be it enacted by the Chickasaw Tribal Legislature assembled, that this Act shall be cited as the "Chickasaw Nation Comptroller Act of 1994."

SEC. 2. The Chickasaw Tribal Legislature finds that:

(a) A need exists to provide for the uniform regulation of fiscal and financial controls regarding funds utilized and generated by the Chickasaw Nation.

SEC. 3. The basis for authority of this Act is Article VI, Section 1, and Article VII, Section 4 of the Constitution of the Chickasaw Nation. The Chickasaw Tribal Legislature, with the adoption of this Act, hereby:

(a) repeals all previous resolutions and laws which pertain to financial control and regulation relating to the government of the Chickasaw Nation, with the exception of Permanent Resolution Number 90-13, the requirements of which shall remain in effect unless or until specifically repealed by Act of the Chickasaw Tribal Legislature.

SEC. 4. For the purpose of this Act:

(a) "The Chickasaw Nation" shall mean the government instituted in the Constitution of the Chickasaw Nation;

(b) "Chickasaw Tribal Legislature," or "legislature," shall mean that body of not more than 13 members, as created by Articles V, VI, VII, VIII and IX of the Constitution of the Chickasaw Nation;

(c) "Governor" shall mean the chief executive officer of the Chickasaw Nation, as created by Articles X and XI of the Constitution, or whenever proper to so interpret, it may also mean the lieutenant governor, when acting in behalf of the governor in accordance with Article X, Section 2 and Article XI, Section 5 of the Constitution;

(d) "Executive Department" shall mean that department of the tribal government created by the Constitution and/or referenced in Articles V, X and XI;

(e) "appropriation" shall mean designating or denoting the use or application of a fund;

(f) "claim" shall mean the right to payment, whether or not such right is reduced to judgment, liquidated, unliquidated, fixed, contingent, matured, unmatured, disputed, undisputed, legal, equitable, secured or unsecured, which is the right to an equitable remedy for breach of performance if such breach give rise to a right of payment, by or through which claimant obtains possession or enjoyment of privilege or thing;

(g) "payroll" shall mean wages or salaries paid to employees or officials of the Chickasaw Nation;

(h) "surplus funds" shall mean those funds which remain after making provisions for all liabilities of every kind, including estimated needs for operations;

(i) "Tribal Budget" shall mean that budget containing only trust funds devised by the governor in accordance with the requirements of the

Constitution;

(j) "Consolidated Governmental Budget" shall mean that budget containing the budgeted annual expenditures from the tribal general fund, enterprise fund and trust funds held in the name of the Chickasaw Nation, as devised by the governor;

(k) "Trust funds" shall mean those funds held by the United States of America for and in the name of the Chickasaw Nation and which are administered by the United States of America and any of its agencies for the benefit of the Chickasaw Nation;

(l) "Reserve" shall mean any funds which are set aside, the purposes or the use of which are not restricted to specific other uses.

SEC. 5. (a) There is hereby created in the Executive Department the Office of Comptroller.

(b) The principal purpose of the Office of Comptroller shall be to oversee the accounting and finance functions of the Chickasaw Nation and to assure that all funds are properly accounted for in accordance with generally accepted and/or legally required accounting principles and methods. The comptroller shall be appointed by the governor, with the advice and consent of the legislature. The comptroller shall be empowered with activities relating to tribal businesses and to tribal government. The comptroller shall be responsible for all activities associated with the Comprehensive Audit of all tribal and federal funds (such as the A-128 Audit), as required by the federal government.

(c) The comptroller shall receive a salary which shall be exempt from the salary scale for employees as set by the legislature and shall be paid at the prevailing rate for such services. Such assistants as may be deemed necessary by the comptroller may be engaged, with the approval of the

governor, to execute the oversight functions of that office subject to the budgetary process of the Chickasaw Nation.

SEC 6. The comptroller shall, as a minimum, be responsible for:

(1) Assuring that an accounting and reporting system exists that will accumulate and report revenues, expenses, assets, liabilities and related quantitative information, by first reviewing all existing such systems and evaluating each of those systems;

(2) assuring the integrity of financial information concerning the Chickasaw Nation's activities and resources;

(3) overseeing the preparation of financial reports based on generally accepted accounting principles or other appropriate bases;

(4) quantifying and interpreting the effects on the Chickasaw Nation of proposed or enacted legislation, of planned transactions and of other economic transactions;

(5) assuring protection of the assets of the Chickasaw Nation through internal control, internal auditing and proper insurance coverage;

(6) supervising and/or coordinating the preparation and issuance of required reports for government agencies;

(7) maintaining banking arrangements, under direction of or by delegate from the governor and in accordance with this Act, to oversee the receipt and disbursement of the funds of the Chickasaw Nation and its programs;

(8) selecting in accordance with established policies and federal requirements independent public accountants and the extent and scope of their audit work;

(9) supervising a sound program of cash management involving both receipts and disbursements of funds;

(10) forecasting fund and cash positions at future dates as a guide

to their availability and need;

(11) auditing the budgeting functions of the Chickasaw Nation and its businesses and providing assistance as necessary with various program budgets;

(12) informing program managers and department heads of the status of program funds and budgets;

(13) acting as advisor to the Chickasaw Tribal Legislature and to the Executive and Judicial departments regarding their budgets and expenditures;

(14) overseeing the preparation and issuance of employee payrolls;

(15) establishing and implementing a sound plan of organization for assigned functions within the Office of Comptroller, and for evaluating and making recommendations for other offices involved in financial functions;

(16) determining the necessary manpower for performing assigned functions of the Office of Comptroller;

(17) selecting and maintaining qualified personnel in subordinate positions and recommending compensation for the same, in accordance with the employee salary/pay scale adopted by the legislature, subject to the approval of the governor;

(18) establishing and issuing plans, policies and procedures governing the performance of assigned activities, and ensuring compliance with those plans, policies and procedures;

(19) performing all functions at the lowest cost, consistent with effective performance; and

(20) performing any additional functions as delegated by the governor.

SEC. 7. Any funds in the custody of the Chickasaw Nation shall be deposited

in an approved depository effected in accordance with the provisions of this Act. There shall be one principal depository and as many subsidiary depositories as may be necessary for the efficient regulation and management of tribal business. Said subsidiary depositories shall be approved in accordance with Section 9 of this Act.

SEC. 8. The principal depository for funds under the control of the Chickasaw Nation shall be determined by the governor in accordance with the recommendations of the comptroller.

SEC. 9. (a) Subsidiary depositories used for investment of tribal funds shall be determined by the comptroller, based upon sound business practices. The selection process of investment depositories shall be conducted by the comptroller, under review of the governor, on a regular basis.

(b) Other subsidiary depositories may be designated for the purposes of efficient regulation and management of tribal business in a particular locale. Subsidiary depositories provided for under this section shall maintain a checking/general banking relationship with the Chickasaw Nation and shall be approved by the governor.

SEC. 10. Any funds deposited by the Chickasaw Nation shall be under the control of the governor, in accordance with Article X, Section 1, and Article XI, Section 1 of the Constitution. The governor may, at his discretion, delegate fiduciary responsibilities to the comptroller of the Chickasaw Nation. The legislature may from time to time establish laws and regulations governing said funds.

SEC. 11. (a) No funds under the control of the Chickasaw Nation shall be deposited in any financial institution unless said institution is insured by either the Federal Deposit Insurance Corporation or the Federal Savings and Loan Insurance Corporation.

(b) No funds in excess of \$100,000.00 shall be deposited in a single financial institution unless said funds are collateralized either by bonds with a minimum of an AA rating, or local, state, U.S. Government and Chickasaw Nation securities.

SEC. 12. (a) All appropriations of funds other than those contained in the approved Tribal Budget as stipulated in Article XI, Section 4 of the Constitution shall be provided for by law, in resolution adopted by the legislature, as budgeted for by the governor. Said resolution shall include the source of funds, the amount of funds and the purpose for which the funds are being appropriated.

(b) Any appropriations measure containing tribal trust funds shall, upon the enactment of said resolution and its being signed into law by the governor, be transmitted by him to the secretary of the U.S. Department of the Interior or his delegee for approval.

(c) Any funds received by the Chickasaw Nation the use of which is determined by the granting or contracting agency shall be used only for those purposes and under those conditions for which said funds are made available. Said funds shall not be appropriated by the legislature, but shall be subject to review by the legislature through the audits of the comptroller.

SEC. 13. (a) The comptroller shall assist the governor in the formulation of the Consolidated Governmental Budget. This budget shall contain the budgeted annual expenditures from the general fund, enterprise fund and trust funds (Tribal Budget) for the executive, legislative and judicial departments of government. The budget shall identify the individual sources of funds and expenditures for each branch of government. Said sources of revenue may be based upon estimates and/or projections. The budgeted expenditures formulated as provided for in this section shall not

exceed total estimated revenues plus any reserves which are not restricted. Approval of the budget by the legislature, in accordance with Article VII, Section 9 of the Constitution, approves the expenditure of those funds subject to their availability.

(b) The comptroller shall assist the governor in devising the Consolidated Governmental Budget. Upon completion of the budget, the governor shall present said budget to the full legislature for consideration and passage.

(c) The legislature, with advisement from the comptroller, shall be responsible for proposing legislation to adopt the budget. Any rejection, amendment or alteration of that budget shall be based upon material changes in real or estimated revenues, in surplus funds, reserves and/or in expenditures that affect the total amounts budgeted. Any amendments provided for in this section shall be presented to the full legislature for consideration and passage, and shall not be effective until signed by the governor.

SEC. 14. Any investment of funds derived as a result of a court judgment shall be made in accordance with federal and tribal laws existing at the time of such investment of judgment funds.

SEC. 15. The governor, as advised by the comptroller, may recommend to the secretary of the U.S. Department of the Interior preferred financial institutions for the investment of its trust funds.

SEC. 16. Surplus funds from tribal operations may be invested by the comptroller in accordance with sections 9, 18 and 19 of this Act.

SEC. 17. Tribal funds invested pursuant to Section 16 of this Act shall be for a period deemed appropriate by the comptroller, insofar as such time does not affect the cash needs of a program, a department or a business.

SEC. 18. (a) The comptroller shall, upon determination of the amount of

surplus funds, solicit bids from financial institutions for the purpose of investing said funds.

(b) The comptroller shall use the following criteria in the determination of successful bidding institutions:

(1) The institution offering the highest interest rate on the funds, and

(2) in the event that one or more institutions offer the same highest rate of interest, the funds shall be equitably distributed among those institutions; provided that if the amount of funds are not sufficient to distribute among several institutions, those institutions offering the highest rate of interest shall be selected by the earlier postmark.

SEC. 19. The comptroller shall devise a financial plan for investments. Said plan shall be developed and presented to the governor and shall be concurred with by the governor and the legislature before it is effective.

Sec. 20. In the event that the invested funds in a single institution amount to more than \$100,000.00, said funds shall be collateralized as provided in subsection (b) of Section 11 of this Act, and provided further that the institution where said funds are invested shall secure and pledge to the Chickasaw Nation joint custody receipts for the full amount of said funds.

SEC. 21. All officers, elected or appointed, and employees who are authorized to a position of trust over any land, property, accounts or monies, shall execute an official surety bond in a minimum amount of \$100,000. Said bonds shall inure to the benefit of and the costs of which shall be borne by the Chickasaw Nation.

SEC. 22. The bonding of officers as required in Section 21 of this Act shall be by a licensed insurance company, authorized to do business in the state of Oklahoma.

SEC. 23. The credit of the Chickasaw Nation may be extended to any

individual, company, corporation or association by resolution of the legislature and concurrence of same by the governor. Said resolution shall contain the name of the entity to which tribal credit is being pledged, the purpose of the credit, the amount of credit being pledged and the length of time the pledge of credit is to be in effect.

SEC. 24. Any pledge of credit which requires the waiving of sovereignty of the Chickasaw Nation shall only be accomplished by resolution of the legislature and concurrence of the governor, and shall state the exact time the waiver is to be in effect, and such effective time shall rule past any change in the elected legislature. Said resolution must contain the information required in Section 23 of this Act.

SEC. 25. Generally accepted accounting principles, established by the National Council on Governmental Accounting, the American Institute of CPAs, and the Financial Accounting Standards Board, shall be used in accounting and reporting for the financial activities of the various entities of the Chickasaw Nation, unless they conflict with applicable legal requirements.

SEC. 26. At the first regular session of the legislature each month, the comptroller shall submit a combined financial statement which shall contain a combined balance sheet and profits/losses statement, plus a combined report on the net income total for all businesses. Such report shall also include the tribal budget and the tribal general fund expenditure reports and reports on expenditures for the Legislative Department.

SEC. 27. The comptroller shall submit to the legislature financial statements which are independently audited by a licensed certified public accountant and related reports developed in accordance with generally accepted auditing standards and applicable legal requirements, as soon

after the end of the fiscal year as they are available from the auditors.

SEC. 28. The comptroller, under the direction of the governor, shall develop and maintain a fiscal records retention program. Said records retention program shall identify the records to be retained, the length of time the records are to be retained and the method of record destruction for those records not retained.

SEC. 29. All appropriate claims against the Chickasaw Nation and against its funds shall be verified by the claimant and shall be approved by a Chickasaw Nation representative who has personal knowledge of receipt of the goods or services before the same are paid.

SEC. 30. The policies and procedures covering the processing of claims against the Chickasaw Nation shall be developed and maintained by the comptroller.

SEC. 31. It is hereby authorized that the various agencies and businesses may maintain an imprest fund. The imprest fund shall be used to pay small invoices that would be impractical to be paid by the regular system. The comptroller shall determine what agencies/businesses need imprest funds and the amounts of such funds. Reimbursement of the imprest fund shall be made by filing a claim and attaching the invoices paid by the fund. Where bank accounts are involved, bank statements shall be mailed directly to the comptroller.

SEC. 32. There is hereby created in the various agencies and businesses a change fund for those agencies/businesses that make change. The comptroller shall determine which agencies/businesses need change funds and the amount of such funds to be included in each fund.

SEC. 33. (a) The comptroller is charged with obtaining the services of a CPA firm to perform auditing of all accounts, funds and accounting systems of the Chickasaw Nation on an annual basis. Such audit shall include all

accounts and financial activities of all agencies of the Chickasaw Nation and be performed in accordance with generally accepted auditing standards, Government Auditing Standards issued by the comptroller general of the United States, and Office of Management and Budget Circular A-128, "Audits of State and Local Governments," and/or such other circulars as may be issued subsequent to the effective date of this Act.

SEC. 34. The comptroller may perform special or select audits upon submission to him of a letter, signed by no less than four members of the legislature, which specifically requests the audit and lists the account or accounts to be included in that audit, or a letter signed by the governor which specifically requests the audit and lists the account or accounts to be included in that audit.

Executed in regular session of the Chickasaw Tribal Legislature meeting at Ada, Oklahoma, on December 17, 1993, by a vote of 10 ayes, 0 nays and 2 abstentions.

Lisa Shephard

Chairperson Protempore
Chickasaw Tribal Legislature

Robert Walton

Secretary Protempore
Chickasaw Tribal Legislature

Concur:

Bill Anoatubby

Bill Anoatubby, Governor

Date: DEC 17 1993